

Every household in the USA has an average credit card debt of US\$ 8,024 (approximately ₹4,80,000). Do you have any credit card debt that you cannot afford to clear today itself? If yes, you need to seriously relook at your credit cards and take a decision on them.

If you want to bring your financial life out of the unknown to the known, the first step has to be clearing all credit card debts and then getting rid of the credit card itself.

You may argue in favour of the convenience that plastic money provides. Well, you have debit cards for the same. Debit cards are different from credit cards in the sense that they allow you to spend only that money which you actually have today. All merchants, sites accept any standard debit cum ATM cards today. There is no logical reason to carry credit cards in your pocket. If you do so, sooner or later, you are liable to fall under the debt of credit cards.

In fact, there is a difference in the way our mind thinks whenever we use a Credit Card or a Debit Card.

This is how our mind thinks when we use a Credit Card : "Ok, I don't have to pay it now. My bank balance is not impacted. We will see when the Credit Card statement comes."

And this is what our mind thinks when we use a Debit Card "This is going to take off the money directly from my bank account. This is hurting. I should go for it only if it is absolutely necessary."

Yes, Debit Card usage hurts more than Credit Card usage and hence forces you to spend only if it is definitely needed. This is happening in your subconscious mind and you may not realise it while you are spending. It happens so fast and so naturally that you may miss it. Keeping a Debit Card is always a safer bet.

As they say, everyone learns the hard way. It took me 10 years of financial stress; continuously looking at my future salary to pay the previous month's credit card debt, anxiety and a huge amount of monthly interest payments before I got the ultimate advice from none other than my wife...who always has a very simple way of looking at things.